



Starting a TMS Clinic

The Complete Business Plan

From concept to first patient — a step-by-step roadmap for 2026



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Executive Summary

Transcranial Magnetic Stimulation (TMS) represents one of the most promising opportunities in behavioral health entrepreneurship. With FDA clearance for treatment-resistant depression and a rapidly growing body of evidence supporting expanded applications, TMS clinics offer healthcare providers a pathway to differentiated, high-margin revenue.

Market Opportunity

\$2.5B+

GLOBAL MARKET SIZE

15%

ANNUAL GROWTH

30%

TREATMENT RESPONSE RATE

Why TMS Now?

- FDA-cleared for major depressive disorder (MDD) and obsessive-compulsive disorder (OCD)
- Insurance coverage expanding across Medicare and commercial payers
- Growing demand for non-pharmacological mental health treatments
- Patent expiration on key technologies opening equipment market
- Increasing acceptance among psychiatrists and referring providers

Target Market

Primary Targets: Outpatient psychiatry practices looking to add procedural services, solo psychiatrists seeking additional revenue streams, pain clinics expanding into behavioral health, and neurology groups differentiating their practice offerings.

Patient Demographics: Adults aged 25-65 with treatment-resistant depression (failed 1-2 medication trials), patients seeking alternatives to medication, those with intolerable side effects, and individuals preferring non-invasive treatment options.

Revenue Model

TMS generates revenue through per-session billing using CPT codes 90867 (initiation), 90868 (delivery), and 90869 (subsequent sessions). A typical course of treatment consists of 36 sessions over 6-9 weeks.

Typical Revenue Per Chair (Monthly)

METRIC	LOW	MID	HIGH
Sessions per Month	15	20	25
Revenue per Session	\$300	\$450	\$600
Monthly Revenue	\$4,500	\$9,000	\$15,000
Annual Revenue (6 chairs)	\$324,000	\$648,000	\$1,080,000

Key Success Factors

 **Insurance Contracting**

- Credential with major payers before launch
- Understand LCD/NCD requirements
- Build authorization workflows

 **Referral Network**

- Establish relationships with psychiatrists
- Connect with PCPs and NPs
- Develop patient education materials

 **Staff Training**

- Comprehensive device training
- HIPAA and compliance certification
- Patient interaction excellence

 **Operational Efficiency**

- Optimized scheduling systems
- Streamlined intake processes
- Effective patient throughput



We opened our TMS practice three years ago with a single chair and have grown to six treatment rooms. The ROI has exceeded our expectations, and more importantly, we're helping patients who have tried everything else. This business plan framework gave us the structure we needed to launch with confidence.



Dr. Rebecca Morrison, MD

Founder, Clarity TMS Center, Denver, CO



Financial Projections

Understanding the financial requirements and projections is critical for securing funding and managing cash flow. This section provides detailed breakdowns of startup costs, operating expenses, and revenue expectations.

Startup Costs

Estimated Initial Investment (6-Chair Clinic)

CATEGORY	LOW ESTIMATE	MID ESTIMATE	HIGH ESTIMATE
Equipment Lease/Purchase	\$75,000	\$120,000	\$250,000
NeuroStar System (per chair)	\$65-75K lease	\$75-85K lease	\$85-100K
BrainsWay Deep TMS	\$75-85K lease	\$85-95K lease	\$95-120K
Space Renovation	\$15,000	\$30,000	\$50,000
Staffing (Pre-Launch)	\$20,000	\$35,000	\$50,000
Licensing & Legal	\$5,000	\$10,000	\$20,000
Marketing & Branding	\$10,000	\$20,000	\$35,000
Working Capital	\$25,000	\$50,000	\$75,000
TOTAL STARTUP	\$150,000	\$265,000	\$480,000

Monthly Operating Costs

Ongoing Monthly Expenses (6-Chair Clinic)

EXPENSE CATEGORY	LOW	MID	HIGH
Rent (1,200-2,000 sq ft)	\$2,400	\$4,000	\$6,000
Staff Salaries (3-5 FTE)	\$15,000	\$22,000	\$35,000
Equipment Lease (6 chairs)	\$8,000	\$12,000	\$18,000
Marketing & Advertising	\$2,000	\$4,000	\$7,500
Supplies & Medical Waste	\$500	\$1,000	\$1,500
Insurance (Liability, Malpractice)	\$1,500	\$2,500	\$4,000
EMR & Software Subscriptions	\$300	\$500	\$800
Utilities & Miscellaneous	\$500	\$750	\$1,200
Total Monthly	\$30,200	\$46,750	\$74,000

Revenue Projections

Three-Year Revenue Forecast (6-Chair Clinic)

Period	Patients/Chair/Month	Monthly Sessions	Monthly Revenue	Annual Revenue
Year 1				
Q1 (Ramp-Up)	3-5	108-180	\$32,400-\$81,000	\$350,000-\$700,000
Q2 (Growth)	8-12	288-432	\$86,400-\$194,400	
Q3 (Maturation)	15-18	540-648	\$162,000-\$291,600	
Q4 (Optimization)	18-22	648-792	\$194,400-\$356,400	
Year 2				
Full Year Average	25	900	\$270,000-\$405,000	\$650,000-\$1,000,000
Year 3				
Full Year Average	30	1,080	\$324,000-\$540,000	\$800,000-\$1,300,000

Break-Even Analysis

With a typical startup investment of \$265,000 (mid-range) and monthly operating costs of \$46,750, most TMS clinics achieve break-even within **8-14 months** post-launch. Clinics that prioritize payer contracting and referral network development in the pre-launch phase typically reach profitability faster.



The financial projections in this plan are realistic. We used conservative estimates for our lender presentation and still showed healthy returns. The break-even timeline was spot-on — we reached profitability in month 10.



Michael Jensen, MBA

Administrator, Pacific TMS Institute, Seattle, WA



Equipment & Technology

Selecting the right TMS equipment is one of the most critical decisions in clinic planning. Each platform offers distinct advantages depending on your practice focus, patient volume, and budget.

Device Comparison

FDA-Cleared TMS Devices (2026)

DEVICE	TYPE	LEASE COST	TREATMENT TIME	BEST FOR
NeuroStar	Table-mounted, figure-8 coil	\$65-85K/year	19-37 min	Standard rTMS, established protocols
BrainsWay Deep TMS	Helmet-based, H-coil	\$75-95K/year	20 min	Deep brain stimulation, OCD, smoking cessation
MagVenture	Cart-based, figure-8 coil	\$70-90K/year	17-37 min	Flexible positioning, multiple coil options
Nexstim	Neuronavigated, SmartFocus	\$120-150K/year	90-110 min	Precision targeting, research applications

Key Selection Criteria

✓ Insurance Acceptance

- Verify payer coverage for specific devices
- NeuroStar and BrainsWay have broadest coverage
- Document medical necessity properly

⚡ Treatment Throughput

- Consider sessions per day per chair
- Faster treatment = more patients
- Balance speed with patient comfort

🎓 Training & Support

- On-site installation and training included
- Technical support availability
- Clinical protocol development assistance

📊 Total Cost of Ownership

- Compare lease vs. purchase options
- Factor in consumables and maintenance
- Consider upgrade pathways

EMR & Software Requirements

HIPAA-Compliant EMR Integration

- **Scheduling System:** Integration with existing practice management or dedicated TMS scheduling software (e.g., GreenLight Health, TMS Cloud)

- **Documentation:** Templates for TMS evaluation, consent, treatment notes, and outcomes tracking
- **Billing Integration:** Direct link to clearinghouse for clean claim submission
- **Patient Portal:** Secure messaging, appointment scheduling, educational resources
- **Reporting:** Outcomes data, session completion rates, payer-specific metrics



Staffing Model

Building the right team is essential for clinical excellence and operational efficiency. TMS clinics require a blend of medical oversight, technical expertise, and administrative support.

Core Team Roles

Minimum Viable Team (6-Chair Clinic)

ROLE	FTE	SALARY RANGE	KEY RESPONSIBILITIES
Medical Director (MD/DO)	0.2-0.5	\$150-300K (part-time)	Patient evaluation, prescription authorization, quality oversight, final treatment decisions
TMS Technician	1.5-2	\$45-65K	Device operation, coil positioning, patient monitoring during treatment, data collection
Office Manager / Billing	1	\$50-70K	Scheduling, insurance authorization, billing/coding, patient intake, collections

Optional Positions (Scale with Volume)

 Referral Coordinator • Build referring provider relationships • Manage referral pipeline • Coordinate intake from external practices • Salary: \$45-60K	 Marketing Manager • Digital marketing campaigns • Community education events • Social media management • Salary: \$55-75K
 Patient Navigator • Guide patients through process • Handle concerns and questions • Coordinate with external providers • Salary: \$40-55K	 Clinical Supervisor • Quality assurance oversight • Staff training coordination • Protocol development • Salary: \$70-90K

Training & Certification Requirements

Required Training

- **Device-Specific Certification:** All equipment manufacturers provide comprehensive training programs (typically 8-16 hours)

- **HIPAA Compliance Training:** Required for all staff handling patient information
- **BLS/CPR Certification:** Recommended for TMS technicians
- **Clinical Protocol Training:** Understanding of TMS mechanisms, patient selection, and outcome monitoring

Insurance reimbursement is the primary revenue driver for most TMS clinics. Understanding payer requirements and securing contracts before launch is critical to financial sustainability.

Medicare Coverage

Medicare Requirements for TMS Coverage

Requirement Type	Details
LCD (Local Coverage Determination)	Covers rTMS for treatment-resistant MDD meeting specific criteria
NCD (National Coverage Determination)	Federal coverage policy for TMS services
Provider Enrollment	Must be enrolled in Medicare Provider-Supplier Database
Patient Criteria	Failed at least one antidepressant medication, meet DSM-5 criteria
Documentation	PHQ-9 scores, medication history, psychiatric evaluation

Commercial Payer Strategy

1-2
MONTH CONTRACT TIMELINE

85%
OF PATIENTS COVERED

A/R < 45
DAYS TARGET

Top Payers by Volume (Verify Locally)

- Aetna, Anthem, Cigna, Humana, UnitedHealthcare
- Blue Cross Blue Shield (state-specific plans)
- Medicare Advantage plans
- State Medicaid programs (varies by state)

Cash-Pay Pricing

SERVICE	CPT CODE	TYPICAL RATE
TMS Initialization (first session)	90867	\$400-700
TMS Delivery (subsequent sessions)	90868	\$300-600
Deep TMS Delivery	90869	\$400-700
Full Course (36 sessions)		\$6,000-15,000

Authorization Requirements

Most commercial payers require prior authorization for TMS treatment. Build a robust authorization workflow that includes:

Insurance verification at intake

- Benefits investigation for TMS coverage
- Prior authorization submission with clinical documentation
- Appeal processes for denials
- Superbill generation for out-of-network claims



Location & Operations

Strategic location selection and efficient operational design are essential for maximizing patient access, staff productivity, and regulatory compliance.

Space Requirements

Recommended Layout (6-Chair Clinic)

AREA	SQUARE FOOTAGE	NOTES
TMS Treatment Rooms	900-1,200 sq ft	150-200 sq ft per chair (including clearance)
Reception & Waiting	200-300 sq ft	Comfortable seating for 10-15 patients
Consultation Room	120-150 sq ft	Private evaluations and follow-ups
Staff/Admin Area	150-200 sq ft	Desks, EMR workstations, storage
Restrooms (patient/staff)	100-150 sq ft	ADA-compliant, separate facilities
Total Range	1,200-2,000 sq ft	Depends on layout and growth plans

Compliance Requirements

ADA Compliance

- Wheelchair accessibility
- Accessible restrooms
- Clear signage
- Treatment chair accessibility

State Licensing

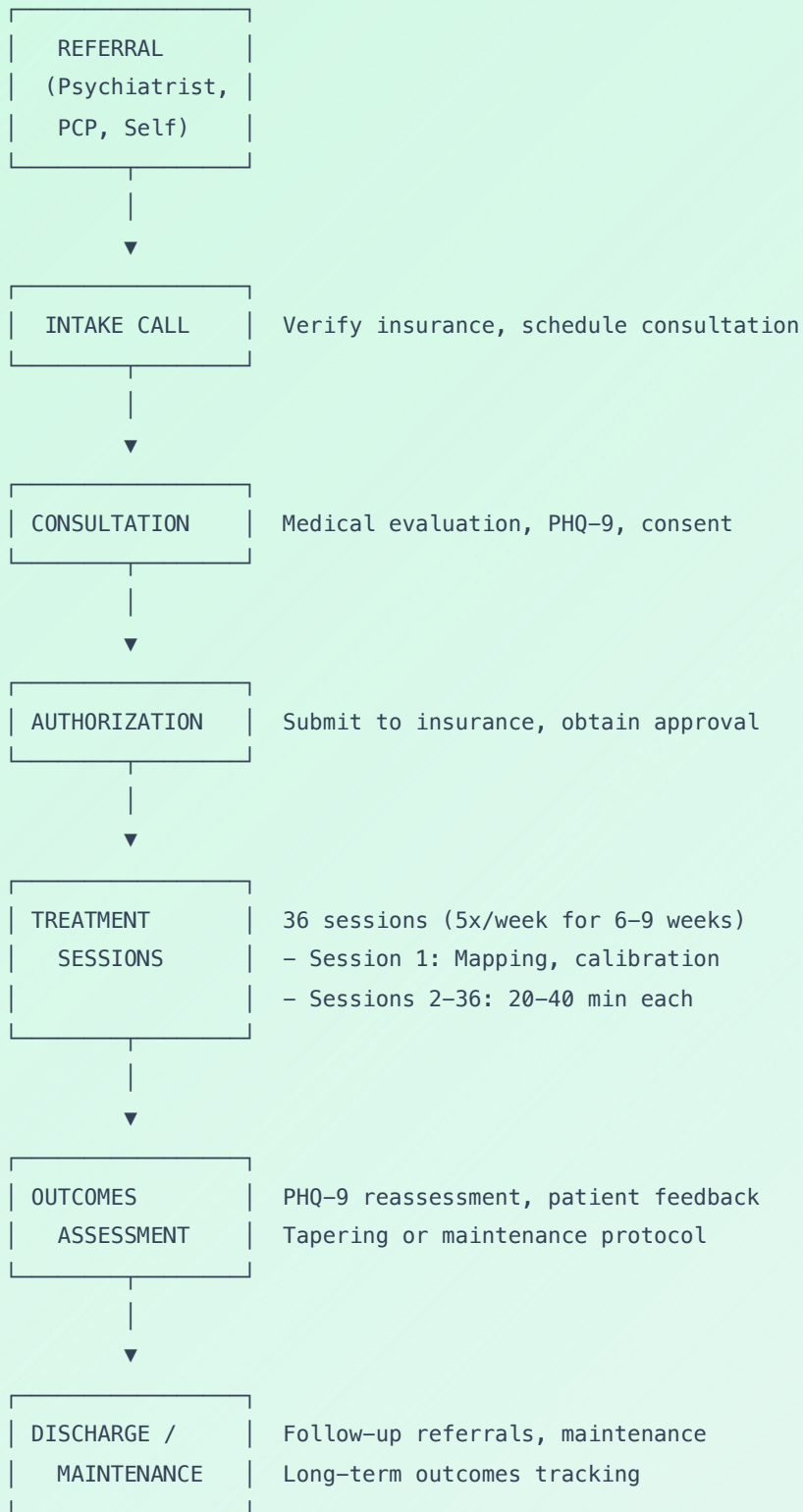
- Medical facility license
- X-ray/fluroscopy license (if applicable)
- Pharmacy license (if dispensing)
- Business operating license

Infection Control

- Surface disinfection protocols
- Medical waste disposal
- Air quality considerations
- Cleaning schedules

Patient Flow Diagram

Standard TMS Patient Journey





Compliance & Legal

TMS clinics must navigate a complex regulatory environment. Establishing robust compliance programs from the outset protects your patients, your practice, and your license.

HIPAA Requirements

HIPAA Compliance Checklist

REQUIREMENT	ACTION ITEMS
Privacy Rule	Patient authorization forms, Notice of Privacy Practices, minimum necessary standard
Security Rule	Technical safeguards (encryption, access controls), physical safeguards, administrative safeguards
Business Associate Agreements	Execute BAAs with: EMR vendor, billing service, clearinghouse, equipment vendor, IT support
Breach Notification	Incident response plan, notification procedures, documentation requirements

State Medical Board Requirements

Key Considerations by State

- **Physician Supervision:** Determine if a physician must be on-site during all TMS sessions
- **Scope of Practice:** Define what tasks can be delegated to TMS technicians
- **Collaborative Agreement:** Some states require formal collaborative practice agreements
- **Continuing Education:** Track CME requirements for supervising physicians

FDA Reporting & Insurance

FDA Adverse Event Reporting

- Report serious adverse events to FDA MedWatch
- Document all device malfunctions
- Maintain internal adverse event log
- Follow manufacturer safety communications

Malpractice Insurance

- Medical malpractice coverage (\$1-3M per occurrence)
- General liability insurance
- Professional liability for each provider
- Coverage for TMS-specific procedures



Marketing & Patient Acquisition

A strategic marketing approach focused on provider referrals and patient education will drive sustainable patient volume. Unlike many healthcare services, TMS relies heavily on physician referrals rather than direct-to-consumer advertising.

Referral Network Strategy

**Psychiatrists**

- Target those with large MDD patient panels
- Offer lunch-and-learn presentations
- Provide seamless referral workflow

**Primary Care**

- PCPs often manage initial depression treatment
- Build relationships with family medicine
- Provide clear clinical criteria

**Nurse Practitioners**

- Growing role in mental health
- Often have prescriptive authority
- Can be referral sources and employees

Digital Presence

Essential Digital Marketing Elements

CHANNEL	PRIORITY	KEY ACTIONS
Google Business Profile	Critical	Complete profile, patient reviews, photos, posts
Website	Critical	Patient education, provider profiles, contact forms
Provider Directories	High	TMS List, Psychology Today, Zocdoc
Social Media	Medium	LinkedIn (providers), Facebook (awareness)
SEO	High	Local keywords, content marketing, backlinks

Community Outreach

Offline Marketing Activities

- **Continuing Education:** Host CME events for referring providers on treatment-resistant depression
- **Support Groups:** Sponsor or present at depression/anxiety support groups
- **Community Events:** Mental health fairs, community talks, employer wellness programs
- **Press Coverage:** Local news stories on new TMS technology, interviews with medical director
- **Patient Testimonials:** With permission, share success stories with referring providers



Timeline & Milestones

A realistic timeline helps manage expectations and ensures all critical path items are completed before seeing patients. Most clinics require 10-12 months from planning to first patient.



Phase 1 — Months 1-3

Business Planning & Financing

- Develop comprehensive business plan
- Secure financing (SBA loan, investors, personal capital)
- Select TMS device and begin vendor negotiations
- Research payer landscape and contracting requirements
- Identify target market and referral strategies



Phase 2 — Months 4-6

Space Build-Out & Staffing

- Lease negotiation and space selection
- Architectural design and permitting
- Construction and renovation
- Hire core staff (Medical Director, Office Manager)
- Begin state licensing and DEA registration
- Select and implement EMR system



Phase 3 — Months 7-9

Implementation & Training

- Equipment delivery and installation
- Device calibration and quality assurance
- Staff training and certification
- HIPAA and compliance training completion
- Begin payer credentialing applications
- Develop clinical protocols and documentation



Phase 4 — Months 10-12

Soft Launch & Growth

- Begin seeing first patients (soft launch)
- Marketing ramp-up (referral network activation)
- Collect first patient outcomes data
- Refine operational processes
- Complete payer contracting
- Plan for expansion (additional chairs, providers)

10-12

MONTHS TO FIRST PATIENT

8-14

MONTHS TO BREAK-EVEN

18-24

MONTHS TO PROFITABILITY



Resources & QR Codes

Scan these codes to access additional TMS List resources for clinic operators and patients.

Continue Your TMS Journey



Find TMS Providers

Locate certified TMS clinics across the United States

tmslist.com/map



TMS Pricing Guide

Understand costs and insurance coverage for TMS treatment

tmslist.com/pricing

Additional Resources

- **TMS Clinic Directory:** List your clinic on TMS List to reach patients actively seeking treatment
- **Clinical Guidelines:** Stay updated on CMS coverage policies and clinical best practices
- **Industry News:** Track developments in TMS technology, reimbursement, and research
- **Peer Network:** Connect with other TMS clinic operators for benchmarking and best practices



Glossary of Key Terms

ADA

Americans with Disabilities Act — Federal law requiring accessibility accommodations

BAA

Business Associate Agreement — Contract required under HIPAA for vendors handling PHI

Break-Even

Point at which total revenue equals total costs; no profit or loss

Capital Expenditure

Major investment in long-term assets (equipment, property) vs. operating expenses

CPT Code

Current Procedural Terminology — Standardized codes for medical services billing

EBITDA

Earnings Before Interest, Taxes, Depreciation, and Amortization

FFS

Fee-For-Service — Payment model based on individual services rendered

FQHC

Federally Qualified Health Center — Community-based healthcare provider

GPU

Graphics Processing Unit — Sometimes referenced in TMS neuronavigation systems

LCD

Local Coverage Determination — Medicare policy defining covered services by region

Margin

Profit expressed as percentage of revenue (Gross Margin, Net Margin)

NCD

National Coverage Determination — Medicare national policy for covered services

Operating Expenses

Day-to-day costs of running a business (rent, salaries, supplies)

Payer Mix

Composition of revenue by payer type (Medicare, Commercial, Self-Pay)

Revenue Cycle

End-to-end billing process from patient registration to payment collection

ROI

Return on Investment — Measure of profitability relative to investment cost

Superbill

Itemized form used to submit claims to insurance; includes diagnoses and procedures

Working Capital

Funds available for day-to-day operations; current assets minus current liabilities

TMS Clinic Launch Checklist

Tear out and use this checklist to track your progress from concept to first patient

CUT ALONG THIS LINE

Planning Phase

- ☐ Define your target market and service area
- ☐ Develop comprehensive business plan with financial projections
- ☐ Secure startup financing or investment
- ☐ Research and select TMS device manufacturer
- ☐ Begin payer landscape analysis
- ☐ Identify potential referral partners

Setup Phase

- ☐ Execute lease agreement for clinical space
- ☐ Complete architectural design and obtain permits
- ☐ Hire Medical Director and key staff
- ☐ Apply for state medical facility license
- ☐ Complete DEA registration (if applicable)
- ☐ Select and implement EMR system
- ☐ Execute Business Associate Agreements
- ☐ Obtain malpractice and liability insurance

Launch Phase

- ☐ Complete equipment installation and calibration
- ☐ Complete staff device training and certification
- ☐ Finish HIPAA compliance training

- ☐ Complete payer credentialing applications
- ☐ Develop and document clinical protocols
- ☐ Build referral network relationships
- ☐ Launch digital presence (website, Google Business)
- ☐ Conduct soft launch with first patients

Grow Phase

- ☐ Monitor and optimize revenue cycle
- ☐ Track patient outcomes and satisfaction
- ☐ Expand referral network
- ☐ Evaluate staffing needs as volume grows
- ☐ Plan for additional TMS chairs or locations
- ☐ Review and optimize payer contracts

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Your TMS Clinic Journey Starts Here

This business plan is your roadmap. Execute with discipline, adapt as needed, and stay focused on patient outcomes.



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TMS Pricing Guide
tmslist.com/pricing

TMS List — Connecting patients with TMS providers nationwide
tmslist.com

THE FREE RESOURCES LIBRARY

Keep going — there's more where this came from

This guide is one piece of a free library we publish for patients researching TMS and providers running TMS clinics. Every resource below is a full PDF — no fluff, no upsell.

The Complete TMS Buyer's Guide

PATIENT

Everything to choose the right TMS provider.

tmslist.com/downloads/tms-buyers-guide.pdf →

Insurance Coverage Checklist

PATIENT

A step-by-step walkthrough to get TMS covered.

tmslist.com/downloads/insurance-checklist.pdf →

TMS vs Medication Comparison

PATIENT

Outcomes, side effects and cost, side by side.

tmslist.com/downloads/tms-vs-medication.pdf →

TMS Billing & CPT Codes 2026

PROVIDER

Reimbursement reference for billers and coders.

tmslist.com/downloads/tms-billing-cpt-codes-2026.pdf →

Prior Authorization Template Kit

PROVIDER

Approval-ready letter and appeal templates.

tmslist.com/downloads/tms-prior-authorization-template-kit.pdf →

Patient Acquisition Playbook

PROVIDER

Channels, scripts and funnels that convert.

tmslist.com/downloads/tms-patient-acquisition-playbook.pdf →

Patient Outcome Tracking System

PROVIDER

PHQ-9 / GAD-7 workflow with templates.

tmslist.com/downloads/tms-patient-outcome-tracking-system.pdf →

Technician Training Checklist

PROVIDER

Onboard new TMS technicians faster.

tmslist.com/downloads/tms-technician-training-checklist.pdf →

State Regulations Guide 2026

PROVIDER

Compliance and licensure by state.

tmslist.com/downloads/tms-state-regulations-guide-2026.pdf →

Building a TMS Referral Network

PROVIDER

Outreach scripts and CRM cadence that work.

tmslist.com/downloads/building-tms-referral-network.pdf →

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